



Q2 2026

Financial Results Conference Call

Prepared Remarks From:

M. Keith Waddell, President and Chief Executive Officer, Robert Half Inc.

Michael C. Buckley, Chief Financial Officer, Robert Half Inc.

July 23, 2026



Second-Quarter 2026 Financial Results Conference Call

Prepared Remarks

July 23, 2026

Disclaimer

The statements made in the conference call speak only as of the date made, and listeners are cautioned that changes in general economic, business or other conditions or in the business condition, financial results or operations of Robert Half may have occurred since such date. Robert Half undertakes no duty to update the statements made in the conference call. Also, subsequent conference calls may have been held, press releases issued, or documents containing later or additional information may have been filed with the Securities and Exchange Commission ("SEC") or New York Stock Exchange ("NYSE") or otherwise become available or come into existence. Robert Half undertakes no duty to make any such conference call, press release, or any such document or additional information available here, and it should not be assumed that the failure of any such conference call, press release, document or additional information to appear here is an indication that no such conference call has occurred, that no such press release or document exists, or that no subsequent additional information which may be material has arisen. Some of the documents Robert Half files with the SEC and NYSE appear elsewhere on the Robert Half website. Listeners to this conference call may contact Robert Half for copies of such documents or any other document filed with the SEC and NYSE. Alternatively, copies of such documents are available directly from the SEC and the NYSE.

Operator:

Introduction

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Hello, everyone. We appreciate your time today.

Before we get started, I would like to remind you that the comments made on today's call contain forward-looking statements, including predictions and estimates about our future performance. These statements represent our current judgment of what the future holds. However, they are subject to risks and uncertainties that could cause actual results to differ materially from the forward-looking statements. These risks and uncertainties are described in today's press release and in our most recent 10-K and 10-Q filed with the SEC. We assume no obligation to update the statements made on today's call.

During this presentation, we may refer to certain non-GAAP financial measures as 'adjusted.' Adjusted revenue growth excludes the impact of billing day variations and foreign currency exchange rates. Adjusted gross margin, SG&A, and operating income reflect the combining of investment gains and losses related to employee



deferred compensation plans with corresponding changes in those obligations; these items have no impact on reported net income. Reconciliations and additional information are included in the supplemental schedules to our earnings release.

For your convenience, our prepared remarks for today's call are available in the Investor Center of our website, roberthalf.com.

For the second quarter of 2026, global enterprise revenues were \$1.336 billion, down 2 percent from last year's second quarter on a reported basis and down 3 percent on an adjusted basis. Talent solutions delivered its third consecutive quarter of sequential revenue growth on an adjusted basis, while its permanent placement operations also posted adjusted year-over-year revenue growth of 2.5 percent. Global enterprise revenues and earnings exceeded the midpoint of our second-quarter guidance.

Hiring demand continues to improve and market conditions are increasingly more supportive of our business. Our unique combination of award-winning high-tech capabilities and high-touch expertise positions us well to help clients navigate a dynamic business environment and connect them with the specialized talent and consulting services they need.

Net income per share in the second quarter was \$0.26, compared to \$0.41 in the second quarter one year ago. As we discussed in last quarter's call, second quarter EPS was impacted by cost actions taken by Protiviti, which Mike will discuss further in just a moment.

Cash flow provided by operations during the quarter was \$109 million. In June, we distributed a 59-cent-per-share cash dividend to our shareholders of record, for a total cash outlay of \$59 million.

Return on invested capital for the Company was 9 percent in the second quarter.

Now I'll turn the call over to our CFO, Mike Buckley.

Michael C. Buckley, CFO, Robert Half:

Revenues

Thank you, Keith. Hello, everyone.

As Keith noted, global revenues were \$1.336 billion in the second quarter.



On an adjusted basis, second-quarter talent solutions revenues were down 2 percent year over year. U.S. talent solutions revenues were \$660 million, down 1 percent from the prior year's second quarter. Non-U.S. talent solutions revenues were \$205 million, down 4 percent year over year. We conduct talent solutions operations through offices in the United States and 18 other countries.

In the second quarter of 2026, there were 63.1 billing days, compared to 63.2 billing days in the second quarter one year ago. The third quarter of 2026 has 64.6 billing days, compared to 64.2 billing days in the third quarter of 2025.

Currency exchange rate movements during the second quarter had the effect of increasing reported year-over-year total revenues by \$7 million—\$6 million for talent solutions and \$1 million for Protiviti.

Contract talent solutions bill rates for the second quarter increased 2.3 percent compared to one year ago, adjusted for changes in the mix of revenues by functional specialization, currency and country. This rate for the first quarter was 2.6 percent.

Now let's take a closer look at results for Protiviti. Global revenues in the second quarter were \$471 million: \$373 million of that is from the United States, and \$98 million is from outside the United States. On an adjusted basis, global second-quarter Protiviti revenues were down 5 percent versus the year-ago period. U.S. Protiviti revenues were down 6 percent, while non-U.S. Protiviti revenues were down 3 percent compared to one year ago. Protiviti and its independently owned Member Firms serve clients through locations in the United States and 27 other countries.

Gross Margin

Turning now to gross margin: In contract talent solutions, gross margin was 39.1 percent of applicable revenues in both the current quarter and the second quarter one year ago. Conversion (or contract-to-hire) revenues were 3.4 percent of contract revenues in both the current quarter and the second quarter of 2025.

Our permanent placement revenues were 13.6 percent of consolidated talent solutions revenues in the current quarter, compared to 13.1 percent in the second quarter of 2025. When combined with contract talent solutions gross margin, overall gross margin for talent solutions was 47.4 percent of applicable revenues in the current quarter, compared to 47.1 percent in the second quarter of 2025.

For Protiviti, gross margin was 13.5 percent of Protiviti revenues in the second quarter and 19.7 percent in the second quarter one year ago. Adjusted gross margin for Protiviti was 18.5 percent for the quarter just ended, compared to 22.3 percent last year. As we discussed in our last call, Protiviti's revenue results reflect ongoing

shifts in the U.S. financial services regulatory environment. As a result, cost actions were taken during the quarter, including \$7 million in severance costs which reduced adjusted gross margin by 1.4 percentage points, or 4 cents per share.

Selling, General and Administrative Costs

Enterprise SG&A costs were 40.1 percent of global revenues in the second quarter, compared to 37.1 percent in the same quarter one year ago. Adjusted enterprise SG&A costs were 34.3 percent for the quarter just ended, compared to 33.8 percent one year ago.

Talent solutions SG&A costs were 53.0 percent of talent solutions revenues in the second quarter, versus 49.2 percent in the second quarter of 2025. Adjusted talent solutions SG&A costs were 44.1 percent for both the current quarter and the second quarter one year ago.

Second-quarter SG&A costs for Protiviti were 16.4 percent of Protiviti revenues, compared to 15.7 percent for the same quarter one year ago.

Operating Income

Reported operating income for the second quarter was negative \$62 million. Adjusted operating income was positive \$39 million in the quarter, or 2.9 percent of revenues. Second-quarter adjusted operating income for talent solutions was \$29 million, or 3.3 percent of revenues. Adjusted operating income for Protiviti in the second quarter was \$10 million, or 2.1 percent of revenues.

Income from investments held in employee deferred compensation trusts

Our second-quarter 2026 income statement includes a \$101 million gain from investments held in employee deferred compensation trusts. This is completely offset by an equal amount of higher employee deferred compensation costs, which are reflected in SG&A expenses and direct costs. As such, it has no effect on our reported net income.

Tax Rate

Our second-quarter tax rate was 35 percent, compared to 33 percent one year ago. The increase in the tax rate is primarily the result of lower tax credits and the increased impact of nondeductible expenses relative to lower pre-tax income.

Accounts Receivable

At the end of the second quarter, accounts receivable were \$821 million, and implied days sales outstanding (DSO) was 55.4 days.

Guidance

Before we move to third-quarter guidance, let's review some of the monthly revenue trends we saw in the second quarter and so far in July, all adjusted for currency and billing days.

Contract talent solutions exited the second quarter with June revenues down 2 percent versus the prior year, the same as the 2 percent decrease for the full quarter. Revenues for the first two weeks of July were down 1 percent compared to the same period last year.

Permanent placement revenues in June were up 4 percent versus June 2025. This compares to a 3 percent increase for the full quarter. For the first three weeks in July, permanent placement revenues were up 4 percent compared to the same period in 2025.

We provide this information so you have insight into some of the trends we saw during the second quarter and into July. But as you know, these are very brief time periods. We caution against reading too much into them.

With that in mind, we offer the following third-quarter guidance:

- Revenues: \$1.310 billion to \$1.410 billion
- Income per share: \$0.43 to \$0.53

Guidance Assumptions

Midpoint revenues of \$1.36 billion are flat with the same period in 2025 on an adjusted basis.

Our midpoint revenue guidance for the third quarter reflects year-over-year growth of 3 percent for talent solutions and 6 percent lower revenues for Protiviti.

Protiviti's results continue to reflect the ongoing shifts in the U.S. financial services regulatory environment, which we discussed last quarter.

The major financial assumptions underlying the midpoint of these estimates are as follows:

Adjusted Revenue Growth, year-over-year:

Talent solutions:	Up	1%	to	5%
Protiviti:	Down	4%	to	8%
Overall:	Down	2%	to	Up 2%

Adjusted Gross Margin percentage:

Contract talent:	38%	to	40%
Protiviti:	23%	to	25%
Overall:	38%	to	40%

Adjusted SG&A, as a percent of revenues:

Talent solutions:	42%	to	44%
Protiviti:	16%	to	18%
Overall:	33%	to	35%

Adjusted Operating Income, as a percent of revenues:

Talent solutions:	3%	to	5%
Protiviti:	6%	to	8%
Overall:	4%	to	6%

Tax Rate:	33%	to	35%
-----------	-----	----	-----

Shares:	100 million to 101 million
---------	----------------------------

2026 capital expenditures and capitalized cloud computing costs: \$50 million to \$70 million, with \$10 to \$20 million in the third quarter.

For the fourth quarter, we offer the following directional observations:

Because of the November and December holidays, the fourth quarter has 61.1 billing days, compared with 64.6 billing days in the third quarter—a quarter-over-quarter decrease of approximately 5%. This reduction is typically partially offset by seasonal growth in average same-day billings, which has historically been in the low single digits. Lower sequential revenues result in negative operating leverage such that fourth-quarter operating margins have historically been 0.5 to 1.5 percentage points lower sequentially than third-quarter margins.

All estimates we provide on this call are subject to the risks mentioned in today's press release and in our SEC filings.

Now I'll turn the call back over to Keith.

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Thank you, Mike.

Our second-quarter results for talent solutions reflect continued sequential revenue growth on a same-day, constant-currency basis, and a return to year-over-year growth for our permanent placement segment. Technology was our strongest performing practice group within contract talent solutions, achieving adjusted year-over-year revenue growth of 2.3 percent for the quarter. Client engagement remained strong throughout the quarter, with job orders and project activity increasing across many markets, particularly in technology modernization, data, cybersecurity and IT infrastructure.

Many of our small and midsize business clients continue to operate with lean organizations after several years of disciplined cost management. As confidence improves and strategic priorities advance, we're seeing demand for specialized talent and consulting expertise to help execute those initiatives. While clients continue to approach hiring thoughtfully, we are seeing steady progress in client interactions and activity.

While geopolitical and macroeconomic uncertainty persists, our clients remain resilient, although inflation remains a key concern including the potential effects of escalating tensions in the Middle East. Organizations continue to focus on initiatives that drive productivity, growth and long-term competitiveness.

Employment levels among many of the professionals we place are healthy, and job openings continue to outpace historical norms.

The labor market for specialized talent remains tight. Professionals with in-demand skills continue to prioritize flexibility, career opportunities and competitive compensation, reinforcing the value of Robert Half's ability to identify and deliver exceptional talent efficiently.

Artificial intelligence continues to complement—not replace—the work performed by the professionals we place. We're seeing growing demand for candidates who combine deep domain expertise with AI fluency and the judgment required to apply these technologies effectively and responsibly, including verifying the accuracy of their outcomes.



The rapid adoption of generative AI by job seekers has also changed the recruiting landscape, increasing application volumes and making candidate evaluation more complex. This underscores the importance of Robert Half's proprietary candidate insights, specialized recruiting expertise and proven ability to identify highly-skilled talent.

Protiviti's results were largely as expected during the quarter. Technology consulting continues to lead, with particularly strong demand in platform transformation engagements.

At the same time, Protiviti's risk and compliance solutions practice continues to navigate shifts in the U.S. financial services regulatory environment, including a marked decline in new enforcement actions and the easing of prior enforcement requirements. As financial institutions adjust, we're beginning to see new work focused on improving the efficiency of ongoing compliance programs, many of which rely on substantial internal resources and aging infrastructure.

These changes continue to influence Protiviti's engagement mix, with fewer large-scale regulatory remediation projects and growing demand for solutions focused on operational efficiency, productivity and advanced technologies. These projects are generally shorter in duration and have different staffing and leverage characteristics than traditional remediation engagements.

During the second quarter, Protiviti acted decisively to better align its resource base with shifting client demand while continuing to invest in capabilities that position the business for sustained growth. These actions resulted in a one-time Q2 charge of \$7 million, or 4 cents per share, and an annualized cost savings of \$45 million, which are fully reflected in our third- quarter guidance.

Demand across Protiviti's other key solution areas remains healthy and the pipeline strong, and we expect sequential revenue growth in those practices during the third quarter. Our strategic use of contract professionals through our talent solutions business remains a key differentiator, enhancing our ability to serve clients and reinforcing our enterprise-wide competitive advantage.

Looking ahead, we remain optimistic about the trajectory of our business. Clients continue to prioritize critical investments in technology, business transformation and growth. As hiring activity recovers and organizations advance strategic initiatives, we believe Robert Half is well positioned to help clients secure the specialized talent and consulting expertise they need to be successful.



Our purpose has never been more relevant: connecting companies with specialized talent and helping people build meaningful careers. Backed by our trusted brand, exceptional people, innovative capabilities and diversified business model, we remain confident in our ability to create long-term value for our clients, our employees and our shareholders.

Finally, we would like to thank our global workforce for their continued dedication. Their commitment to excellence was recently recognized as Robert Half earned the No. 1 ranking on Forbes' America's Best Professional Recruiting Firms.

Now, Mike and I would be happy to answer your questions. Please ask just one question and a single follow-up, as needed. If there's time, we'll come back to you for additional questions.

Q&A Session

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

That was our last question. Thank you for joining us today.

Operator:

This concludes today's teleconference. If you missed any part of the call, it will be archived in audio format in the Investor Center of Robert Half's website at roberthalf.com. You also can dial the conference call replay. Dial-in details and the confirmation code are contained in the Company's press release issued earlier today.